THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · NCERT-TYPE CHAPTER TEST SET 2

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. NCERT-type: questions in the style of the textbook examples and exercises.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Formal sector loans are supervised by: 1

(a) the village panchayat **(b)** moneylenders
(c) the Reserve Bank of India **(d)** the local trader

2. A farmer borrows to cultivate, but the crop fails. He is unable to repay and loses land. This is an example of: 1

(a) a cheque payment **(b)** a demand deposit
(c) a debt trap **(d)** a barter exchange

3. The Grameen Bank of Bangladesh is known for: 1

(a) printing notes
(b) collecting taxes
(c) providing education
(d) providing loans to the poor, mainly women, without collateral

4. Currency notes in India are issued by the: 1

(a) Reserve Bank of India **(b)** Ministry of Commerce
(c) State Bank of India **(d)** Parliament

5. People deposit money in banks because: 1

(a) banks pay no interest **(b)** they cannot withdraw it
(c) cash is illegal **(d)** it is safe and earns interest

6. Money solves the problem of barter because it acts as: 1

(a) a collateral **(b)** a loan
(c) an interest rate **(d)** a medium of exchange

7. If a borrower fails to repay the loan, the lender can: 1

(a) print more money
(b) cancel the interest
(c) sell the collateral to recover the payment
(d) punish the bank

8. A double coincidence of wants means that: 1

(a) two persons borrow together
(b) a cheque is signed twice
(c) what one person wishes to sell is exactly what another wishes to buy, and vice versa
(d) two banks lend together

9. Self-Help Groups help the poor by: 1

(a) printing currency
(b) providing loans from the group's savings at reasonable interest without collateral
(c) forcing deposits
(d) banning moneylenders

10. A loan agreement in which the lender supplies the borrower with money, goods or services in return for a promise of future payment is called: 1

(a) cheque **(b)** credit **(c)** barter **(d)** deposit

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Name the two modern forms of money. 2

12. Distinguish formal and informal sources of credit by giving one example of each. 2

13. What is a double coincidence of wants? 2

14. What is a Self-Help Group? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Why is the rupee accepted as a medium of exchange in India? 3

16. How do banks earn income from deposits? 3

17. Why is it important that cheap credit is available to all? 3

OR

Explain how a Self-Help Group works. 3

18. Explain how credit can create a debt trap. 3

OR

Explain what a collateral is and why a lender asks for it. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Explain how banks use deposits and make profits. 5

OR

Explain the terms of credit with the help of examples. 5

20. Distinguish between formal and informal sources of credit. 5

OR

Why do the poor face difficulty in obtaining loans from formal sources? 5

END OF QUESTION PAPER — Total: 40 Marks